

You should use your savings account to build up an emergency fund (as we'll discuss in the chapter on budgeting) or for any large purchases you plan to make in the future, like a car, vacation, or down payment on a house. The interest rates offered by online banks and credit unions are generally much better than those of traditional banks, so if you want to get the best rate for your money, be sure to compare rates online. Accounts that pay high interest rates are often called **high-yield savings accounts**.

If you know you will be keeping your money in a savings account for an extended period of time, another option is opening a **certificate of deposit (CD)**. A CD is a savings account with a higher interest rate that requires you to leave your money in the account for a specific period of time. For example, a CD might offer you 2.5% interest per year if you keep your money in the account for three years. It will pay you a higher interest rate than most savings accounts, but you cannot take the money out anytime you want to and still earn the promised interest rate. Because you cannot take your money out anytime you want, CDs are not a great option if you don't have as much flexibility and may need the money in the near future.

Which Bank Should I Choose?

Most banks are pretty similar, so choosing Capital One over Bank of America, for example, is not going to determine whether or not you meet your financial goals. When it comes to choosing a bank, you need to figure out what is most important to you: better interest rates, an easy-to-use app, great customer service, lower fees, and so on. While most big banks offer similar services, there are different types of banks that may suit your specific needs better than others.